SHOULD MMBC LAUNCH A NEW

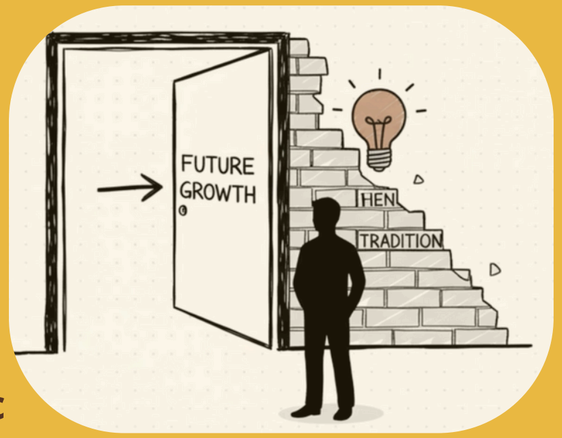
BEER

How do we secure the future without erasing the past

Shweta Mittal, Cohort 2

STRATEGIC DILEMMA: PRESERVING THE CORE VS. PURSUING GROWTH

- One flagship product, Mountain Man Lager, with deep loyalty among older, blue-collar consumers
- Light beer now represents the only consistently growing beer category, while Mountain Man has no presence in this segment
- Management faces pressure to secure future growth by appealing to younger consumers, firm must decide whether extending the brand is a necessary adaptation or a strategic misstep that could weaken its strongest asset





520k+ Barrels Sold (2005)

Core Product Strength

Light Beer = 50.4% of Regional Volume

Category Shift

Core Consumers: 45+ Years Old

Customer Demographic Risk

53% Sole-Brand Loyalty (Very High)

Brand Tension

Using Brand Authenticity to Access Growth While Protecting the Core

Company

- Strong regional brand with high awareness and loyalty
- Single-product portfolio → limited growth exposure
- Lower financial flexibility vs. national brewers
- Excess brewing capacity allows launch without capex

Customer

- Core customers are aging; limited long-term growth
- Younger drinkers:
  - Prefer light beer
  - Exhibit low brand loyalty
  → opportunity to convert
- brand perceived as “authentic” but “too strong”

Competition

- Dominated by Bud Light, Miller Lite, Coors Light
- National players benefit from:
  - Scale
  - Heavy advertising
  - Strong distributor influence
- Regional light beers have limited share

Context

- U.S. beer market is flat to declining
- Light beer is the only growing category (+4% CAGR)
- Health, moderation, and lifestyle trends favor lighter options
- Retailers increasingly demand high-turnover SKUs

Collaborators

- Independent distributors carry Mountain Man and competing brands
- Shelf space is constrained → risk of lager cannibalization
- Limited distributor incentive without strong velocity
- On-premise accounts represent a growth opportunity if Light is added

Segmentation

- **Core Lager Segment:**
  Blue-collar men, 45+, loyal, taste-driven, value tradition
- **Light Beer Segment:**
  Younger drinkers (21–34), women, health-conscious, social/occasion-based consumption

Targeting

- **Primary Target:**
  Younger light-beer drinkers (21–27) seeking authenticity but preferring lighter taste
- **Secondary Target:**
  Women and casual drinkers in on-premise settings (bars & restaurants)

Positioning

- “A lighter beer that stays true to Mountain Man’s authentic, local heritage”
- Not a mass-market light beer, but a regional, authentic alternative to national brands

CAN MOUNTAIN MAN LIGHT PROFITABLY DRIVE GROWTH?

Variable cost = Mountain Man Lager: $66.93 per barrel
Incremental cost for Light: +$4.69 per barrel
Variable cost – Mountain Man Light: 66.93+4.69 = **71.62 per barrel**
Selling price per barrel (same as lager) = ($50.44M / 520,000 barrels) = **~ $96.90**
New Contribution margin: 96.90−71.62 = **25.28 per barrel**

Fixed & Launch Costs

- One-time launch advertising (Year 1): **$750,000**
- Annual incremental SG&A: **$900,000**
- Total fixed costs (Year 1): **750,000+900,000=1,650,000**
- Fixed costs (Years 2+)**: $900,000 per year**

Market-Based Volume Projections (2006–2010)

Light Beer Market Size

- 2005 East Central Light Beer volume: 18.74 million barrels
- Growth rate: 4% annually

Mountain Man Light Market Share Assumption (from case)

- 2006: 0.25% & Increases by 0.25% each year

Year	Light Beer Market (MM barrels)	MM Light Share	MM Light Volume (barrels)
2006	19.49	0.25%	**48,700**
2007	20.27	0.50%	**101,350**
2008	21.08	0.75%	**158,100**
2009	21.92	1.00%	**219,200**
2010	22.8	1.25%	**285,000**

Annual Contribution
Contribution=Barrels×25.28

Year	Barrels	Contribution ($)	Fixed Costs ($)	Operating Profit ($)
2006	48700	1230000	1,650,000	**(420,000)**
2007	101350	2563000	900,000	**1663000**
2008	158100	3995000	900,000	**3095000**
2009	219200	5541000	900,000	**4641000**
2010	285000	7203000	900,000	**6303000**

Break-Even Analysis

Break-Even Volume (Year 1)

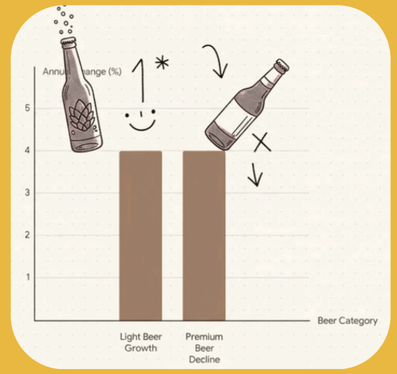
- Break-even barrels = 1,650,000 / 25.28≈65,300 barrels

Expected 2006 volume: 48,700 barrels

Expected 2007 volume: 101,350 barrels

→ **Break-even occurs during Year 2,** well within management's **two-year profitability requirement.**

	The Mountain Man Drinker
Gender	81% Male
Age	Primarily 45+
Income	Middle-to-lower
Occupation	Blue-collar





DESPITE LOWER CONTRIBUTION MARGINS AND HIGHER PER-BARREL COSTS, MOUNTAIN MAN LIGHT IS FINANCIALLY VIABLE.

The product breaks even in Year 2, meets CFO profitability hurdles, and generates substantial upside by 2010, provided market share grows as projected and cannibalization is controlled.

Positives

- Break-even achieved early in Year 2
- By 2010, Light contributes >$6M operating profit annually
- Volume projections require only 1.25% light beer share, realistic for a strong regional brand

Risks

- Lower margins mean volume discipline is critical
- Cannibalization of lager (even 5–10%) could materially reduce net gains
- Fixed SG&A becomes risky if share growth stalls below 0.5%

CONCLUSION

Despite lower contribution margins and higher per-barrel costs, Mountain Man Light is financially viable.

The product **breaks even in Year 2,** meets CFO profitability hurdles, and generates **substantial upside by 2010,** provided market share grows as projected and cannibalization is controlled.

Product

- Launch Mountain Man Light as a **line extension**, not a new brand
- Match lager's **authentic**, **local** identity
- Distinct but related packaging

Price

- **Price parity** with Mountain Man Lager
- Avoid discounting
- Accept **lower contribution margins** in exchange for entry into a growth category

Place

- Prioritize **on-premise channels** (bars,restaurants)
- Selective off-premise rollout
- Leverage existing distributor relationships with Limited initial SKUs to reduce risk

Promotion

- Emphasize **grass-roots and local marketing**
- Messaging: "**Light doesn't mean less Mountain Man**"
- Tactics:On-premise sampling &events,**Local sponsorships** and community tie-ins


THANK YOU

APPENDIX

- DukeGPT Link: https://chat.ai.duke.edu/s/0372c1d6-538b-43ec-87c0-413849d4822b